

ENTREPRENEURSHIP & BUSINESS DESIGN

B. Tech. CSE. III Year, I semester Section D, (9ZC10). Unit - I

**Sreenidhi Institute of Science & Technology
Hyderabad, 501301, India (Sep. 2025)**

Syllabus (Unit -1)

UNIT-I: Introduction to Entrepreneurship: Meaning of Entrepreneurship. Reasons feeding the Entrepreneurial fire. Understanding Entrepreneurship as a Process. Multiple roles of Entrepreneur: Intrapreneur, Inventor, Coordinator, Manager and Controller. Psychological and behavioral aspects of First-Generation Entrepreneur.

Course Objective

The objective of the course is to make students understand the essentials of building their startups and to familiarize with business design process develop business models, and market their product.

Introduction to Entrepreneurship (Unit-1)

Who is Entrepreneur ?

- Entrepreneur is defined as **an agent** who buys **elements (factors) of production** at certain prices in order to **combine them into product** with a view to selling it at uncertain prices in future.
- Entrepreneur is defined as one **who combines** the **land** of one, the **labor** of another and the **capital** of yet another and thus **produces the product**.

Meaning of Entrepreneur

- The word “Entrepreneur” has been taken from the French Language **Enterprendre** which means “**to undertake**” and meant to **organize** musical or other entertainment programs.
- Oxford Dictionary (1897) also defined entrepreneur as the director or **manager of a public musical institution**

What is Entrepreneurship ?

- Entrepreneurship is defined as the **professional application of knowledge, skills and competencies** of generating **a new business idea**, by an individual or a set of people by **launching an enterprise** or business organization to pursue growth while **generating wealth, employment** and social good.

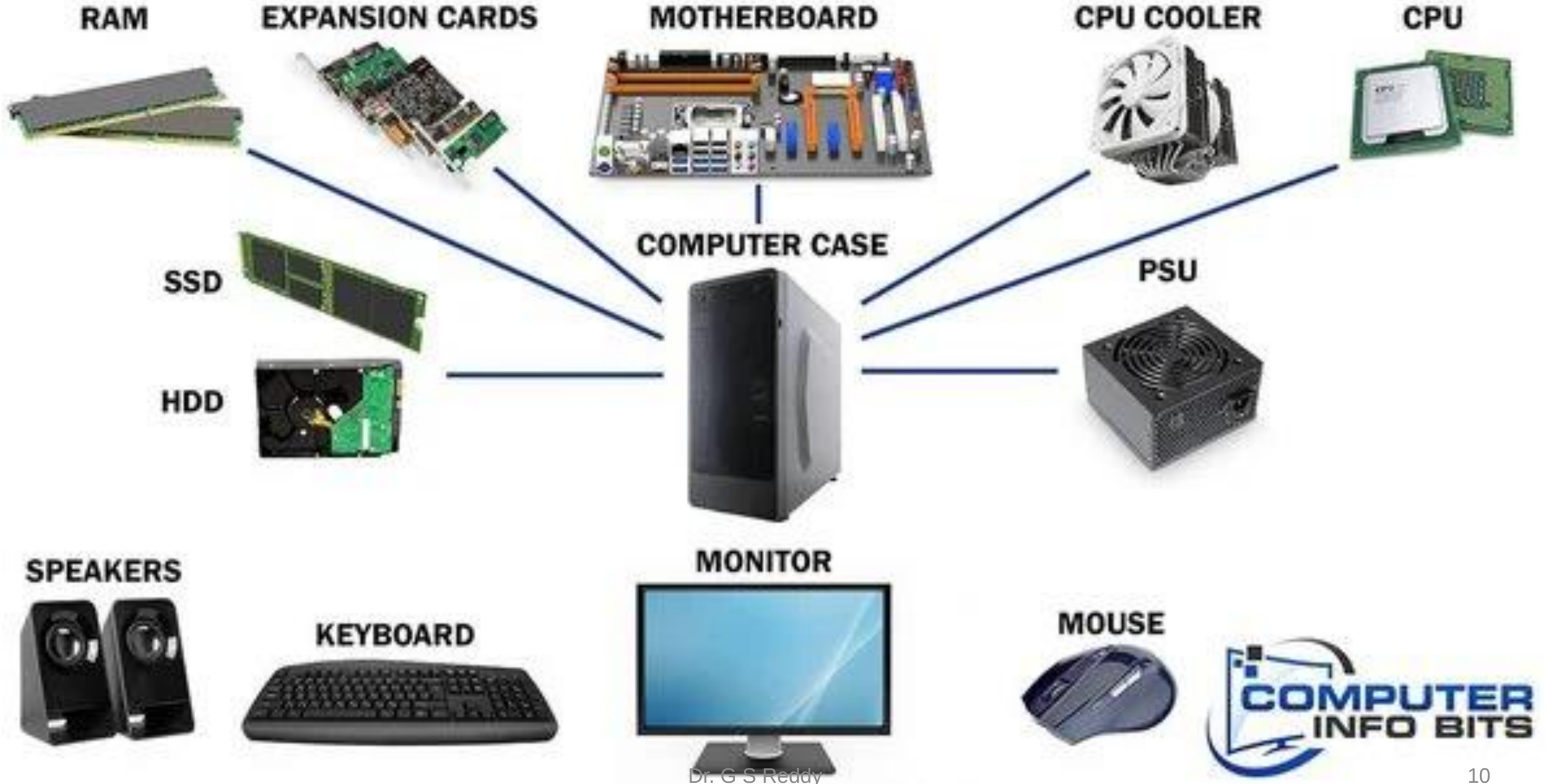
Meaning of Entrepreneur.....

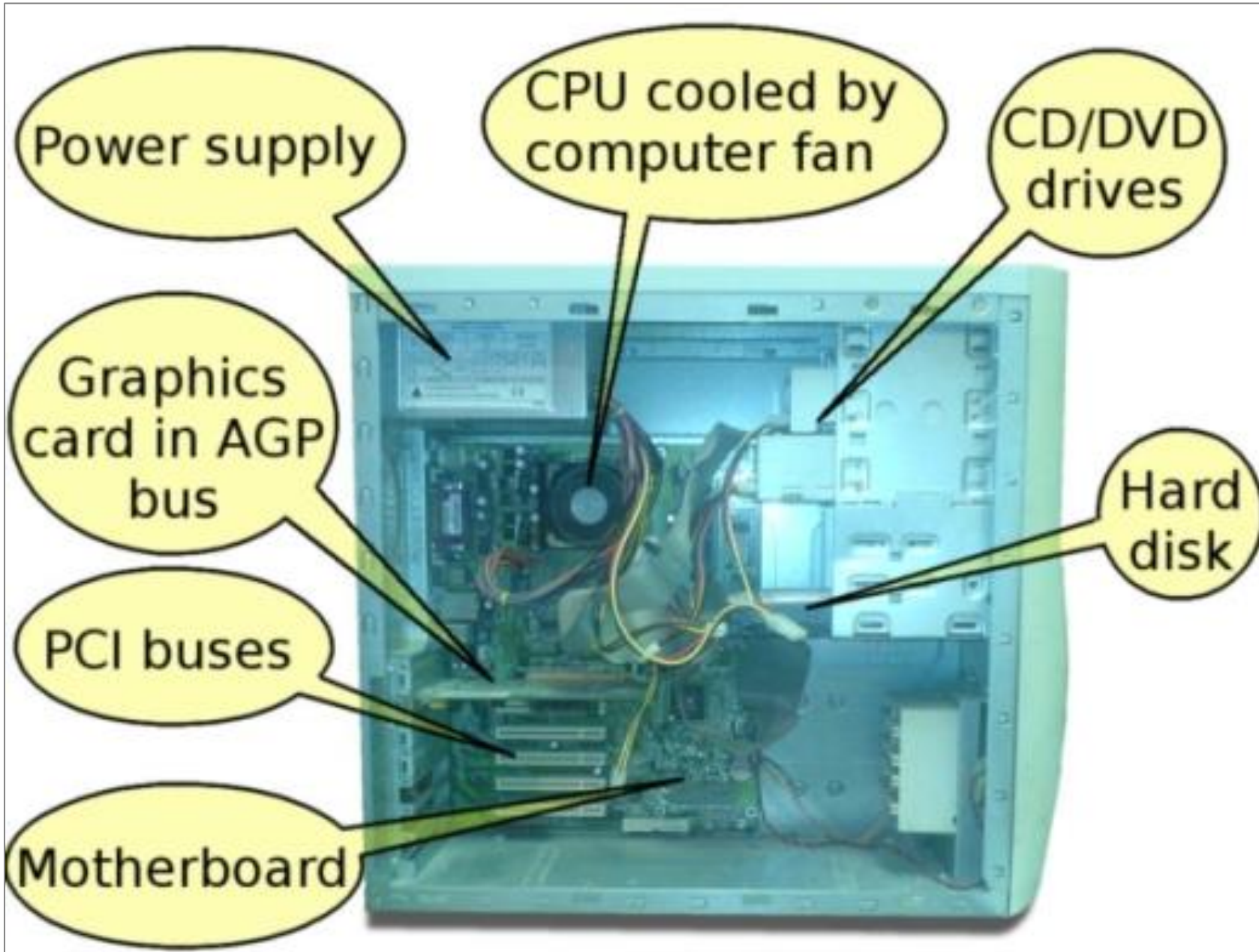
- **Richard Cantillon (1725) an Irishman living in France was the first who introduced the term “ entrepreneur “.**
- **He defined entrepreneur as an agent who buys elements (factors) of production at certain prices in order to combine them into product with a view to selling it at uncertain prices in future.**

Meaning of Entrepreneur.....

- **Jean-Baptiste (1825) the French political economist defined entrepreneur as one who combines the land of one, the labor of another and the capital of yet another and thus produces the product. By selling the produce in the market he pays interest on capital, rent to the landlord and wages to the laborers and what remains is his profit.**

PARTS OF A COMPUTER





Assemble all parts inside a cabin, test it, Install software, demonstrate customer its operation.

**Chennai Trading Center,
Secunderabad**

Why to study Entrepreneurship?

- ✓ To generate interest for **self-employment**
- ✓ To understand **Entrepreneurial Qualities, Skills**
- ✓ To grab and **build Business Opportunities, Ideas**
- ✓ To know how to setup a Business Organization
- ✓ To be aware of **problems, opportunities, challenges, resources** in an enterprising process
- ✓ To make out Business Successful
- ✓ To create employment opportunities, Wealth.....

Meaning of Entrepreneur.....

- **Business expert Peter Drucker (1909-2005) took this idea further, describing the entrepreneur as someone who actually searches for change, responds to it, and exploits change as an opportunity. A quick look at changes in communications—from typewriters to personal computers to the Internet**

Meaning of Entrepreneur.....

- **NKC (2008) has defined entrepreneurship as the professional application of knowledge, skills, and competencies of monetizing a new idea, by an individual or a set of people by launching an enterprise or diversifying from an existing one thus to pursue growth while generating wealth, employment and social good.**

Advantages of Entrepreneurship over Employment

Employment	Entrepreneurship
•Work for others	Own boss
•Follow Instructions	Makes own plans
•Routine Job	Creative activity
•Earning is Fixed not negative	Earnings range from maximum to minimum
•Does not create wealth	Does create wealth

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Entrepreneurship as a Process

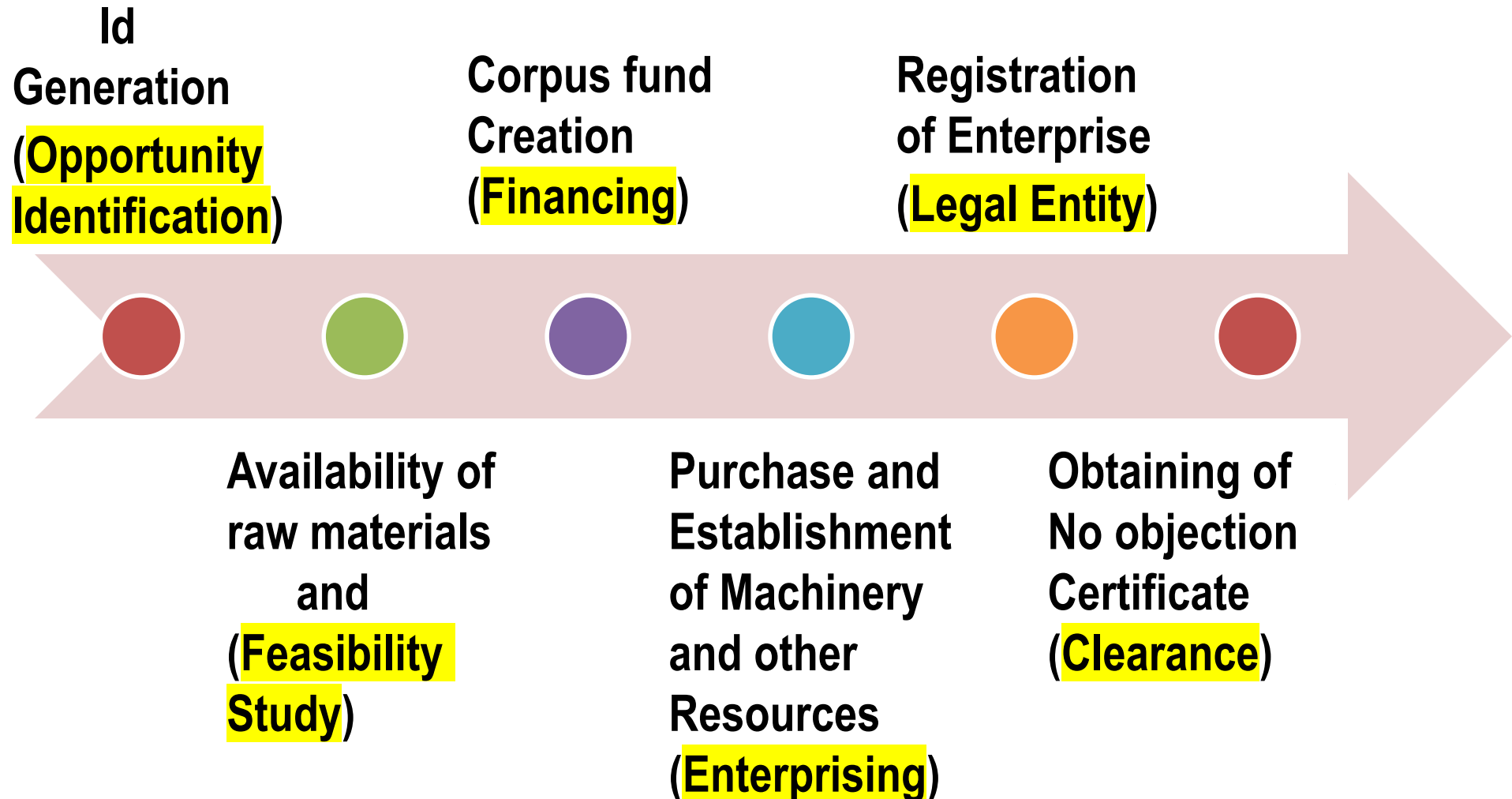
Difference b/n Entrepreneurship and Entrepreneur

- Entrepreneurship can be described as a *process* of setting up an enterprise.
- Entrepreneurship is a *creative activity*.
- Entrepreneurship is the *attitude of mind* to seek opportunities, take calculated risks and derive benefits by setting up a venture.
- Entrepreneur is a *person* who starts an enterprise.
- The *process* of creation is called entrepreneurship.
- The entrepreneur is the *actor* and entrepreneurship is the *act*.
- The outcome of the actor and the act is called the *enterprise*.

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Entrepreneurship as a process



Entrepreneurial Fire

- 'Entrepreneurial fire' refers to the **passionate drive**, **motivation**, and **enthusiasm** that **fuels** an **individual's journey** as an **entrepreneur**.
- It is the **burning desire to create**, **innovate**, and **take risks** to build a **successful business**.
- This "**fire**" is what helps **entrepreneurs persevere** through **challenges**, **setbacks**, and the **inevitable difficulties** of starting and growing a business.



**Entrepreneurs
thrive when the
fire inside them
burns brighter
than the fires
around them.**

Factors feeding the Entrepreneurial Fire

- **Technological Advancement**
- **Independent life style**
- **Commerce and the Internet**
- **Additional International opportunities.**

Factors feeding the Entrepreneurial Fire

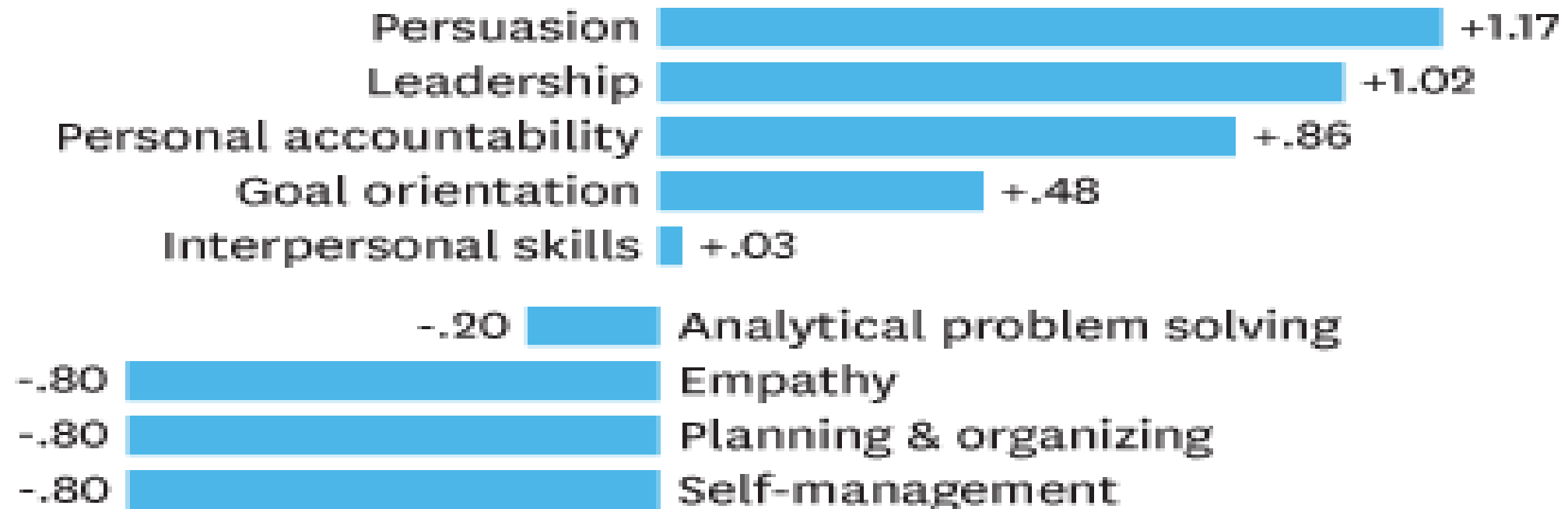
- The rapid increase in entrepreneurs has been a result of more opportunities for customized services.
- Considering entrepreneurs as heroes
- Entrepreneurial education
- Demographic and economic factors
- Shift to a service economy.

Key skills of an Entrepreneur

THE KEY TRAITS OF A SERIAL ENTREPRENEUR

Based on a control group of 17,000 working adults, serial entrepreneurs tested above and below average in the following skills:

ABOVE OR BELOW THE CONTROL GROUP'S AVERAGE



SOURCE TARGET TRAINING INTERNATIONAL

HBR.ORG

Entrepreneur as Risk bearer

➤ **Richard Cantillon, an Irish man living in France ,was first who introduced the term “Entrepreneur’ and his unique risk bearing function in economics in the early 18 century. He defined entrepreneur as an agent who buys factors of production at certain prices in order to combine them in to product with a view to selling it at uncertain prices in future.**

Entrepreneur as organiser

Jean-Baptiste say, the French political Economist, developed the concept and says that entrepreneur is one who combines the land of one, the labor of another and the capital of yet another ,and thus, produces a product. Thus say has made a clear distinction between the role of the capitalist as a financier and the entrepreneur as a organizer.

Repeated

Entrepreneur as Innovator

- **Joseph.A.Schumpeter ,for the first time assigned a crucial role of innovation to the entrepreneur .Schumpeter considered economic development as a discrete dynamic change brought by entrepreneur by instituting new combinations of factors of production which he called a innovation.**
- **The innovation ,i.e introduction of new combination of factors of production, according to him ,may occur in any one the following five forms**
 - **Introduction of a new product**
 - **Introduction of a new method of production**

Entrepreneur as Innovator

- Opening of a new market
- Discovery of a new source of supply of raw materials
- Carrying out a new form of Organization of any Industry

First-Generation Entrepreneurs

First Generation Entrepreneurs is a synonym for New Entrepreneurs. Before setting up a new entrepreneurship an entrepreneur needs to complete various procedural and legal hurdles. The difference between a First Generation Entrepreneur and an established entrepreneur is they have nothing to loose.

A new entrepreneur can invest a small amount with the risk of loosing it. However, an established business man needs to weigh its decision to invest only in profitable projects with less risk of loosing

Psychological and behavioral Aspects

- Moderate risk taking
- Long-term involvement
- Money as a measure not merely an end
- Use of feedback
- Continuous pragmatic problem solving (sensibly & realistically)
- Use of resources
- Self-imposed standards
- Clear goal setting.

Psychological and behavioral Aspects

- **Drive and energy**
- **Self-confidence**
- **High initiative and personal responsibility**
- **Internal locus of control**
- **Tolerance of ambiguity**
- **Low fear of failure**

Psychological and behavioral Aspects

Entrepreneurial motivational Behavior

1. Creativity

2. Creative Thinking Process

3. Self Efficacy

The End of Unit - 1